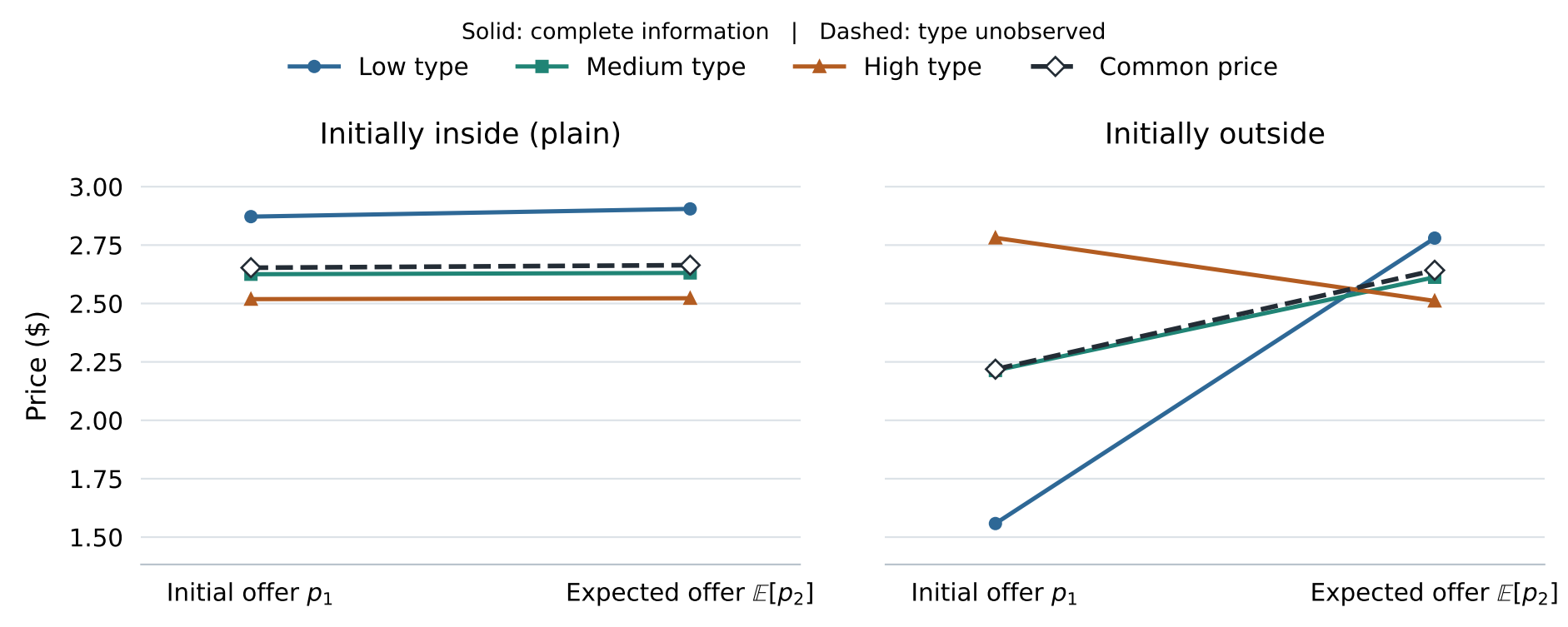
Solid: complete information | Dashed: type unobserved
Low type
Medium type
High type
Common price
Initially inside (plain)
Initially outside
Price ($)
3.00
2.75
2.50
2.25
2.00
1.75
1.50
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$